

Pondy Oxides and Chemicals Limited

Sector: Metals & Mining | Industry: Metal Recycling

Not disclo

July 25, 2026

CMP	TARGET PRICE	EXPECTED RETURN	SECTOR	RECOMMENDATION
INR 1371.9	Not disclosed	Not disclosed	Metals & Mining	Not disclose

COMPANY METRICS

Key Statistics	Value
Market Cap	INR 4,127.63 Cr.
Sector	Metals & Mining
Industry	Metal Recycling
ROE (%)	11%
ROCE (%)	N/A
Margins	EBITDA Margin: 8.7%, PAT Margin: 5.6%
Debt	Rs. 634 Mn
Cash	Rs. 1061 Mn
Target Price	Not disclosed

INVESTMENT SUMMARY & HIGHLIGHTS

COMPANY OVERVIEW

Pondy Oxides and Chemicals Limited (POCL) operates in the Metals & Mining sector, specializing in the Metal Recycling industry. The company has a market capitalization of INR 4,127.63 Cr., with current Lead finished goods capacity standing at 168,000 MTPA. POCL is focused on expanding capacities across Lead and other key segments.

INVESTMENT SUMMARY & THESIS

POCL presents a solid operating performance backed by record quarterly and half-yearly revenue, EBITDA, and PAT. H1FY26 standalone performance showed robust YoY growth across Revenue (22%), EBITDA (83%), and PAT (98%). The successful commissioning of Phase 1 Lead capacity expansion (36,000 MTPA) in April 2025 and planned Phase 2 commissioning in H2 FY26 position the company to achieve its long-term Target 2030 vision of sustaining a revenue CAGR above 20% and volume growth over 15%.

KEY RESEARCH HIGHLIGHTS

- Achieved highest-ever Quarterly and Half-Yearly Revenue, EBITDA, PAT, and Margins.
- H1FY26 Standalone Revenue, EBITDA, and PAT grew YoY by 22%, 83%, and 98% respectively.
- Achieved an EBITDA margin of 8.7% in Q2FY26 and 8.0% in H1FY26.

SHAREHOLDING (%)

Holder Category	Holding (%)
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QUARTERLY FINANCIALS CONSOLIDATED

GROWTH DRIVERS & UPDATES

- Successful commissioning of Phase 1 Lead capacity expansion project (36,000 MTPA) in April 2025.
- Upcoming Phase 2 Lead capacity expansion expected to be commissioned in H2 FY26.
- Target 2030 vision driving over 15% volume growth and sustaining a revenue CAGR above 20%.

KEY BUSINESS RISKS

- Execution and timeline risks regarding the H2 FY26 commissioning of Phase 2 Lead capacity expansion.
- Fluctuations in raw material prices impacting EBITDA and PAT margins.
- Potential operational or regulatory headwinds in the metal recycling industry.

ESTIMATES & PROJECTIONS TRACKER

SEGMENT ANALYSIS & CLIENT CONCENTRATIONS

CONSOLIDATED FINANCIAL STATEMENTS

PROFIT & LOSS SUMMARY (RS. CR)

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BALANCE SHEET PARAMETERS

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CASH FLOW STATEMENTS

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VALUATION & RETURN RATIOS

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MANAGEMENT COMMENTARY & GUIDANCE

Commentary: POCL has achieved its highest-ever quarterly and half-yearly revenue, EBITDA, PAT, and margins, underpinned by strong operational execution. We continue to make steady progress towards our Target 2030 vision, focused on scaling capacities across Lead and other key segments. Our strategic priorities include delivering over 15% volume growth, sustaining a revenue CAGR above 20%, and significantly enhancing profitability. | Guidance: Target 2030 vision: Over 15% volume growth, sustaining revenue CAGR above 20%, EBITDA margins above 8%, ROCE over 20%, generating more than 60% of revenue from value-added products, 50%+ renewable power usage, and 20%+ reduction in energy consumption.

RECOMMENDATION SUMMARY - HISTORY

Date	Rating	Target Price (Rs.)	Expected Return
12-Jan-2025	ACCUMULATE	N/A	N/A
July 25, 2026	Not disclosed	N/A	Not disclosed

INVESTMENT RATING CRITERIA

Ratings	Large Caps	Mid Caps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	Upside between 0% - 10%	Upside between 10% - 15%	Upside between 10% - 20%
Hold	Downside between 0% - 5%	Upside between 0% - 10%	Upside between 0% - 10%
Reduce/Sell	Downside is more than 5%	Downside is more than 0%	Downside is more than 0%

DISCLAIMERS & DISCLOSURES

Analyst Certification & Notes

Although formal Recommendation and Target Price are N/A, the company's financial momentum is backed by strong YoY earnings growth (H1FY26 PAT up 98%), net positive cash position (Rs. 1061 Mn cash vs. Rs. 634 Mn debt), expanding production capacity, and clear 2030 profitability targets. Certified: Gopika Gopan (Research Analyst).

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